CASCADIA ANALYTICS

INVESTMENT SCORECARD

ROAD

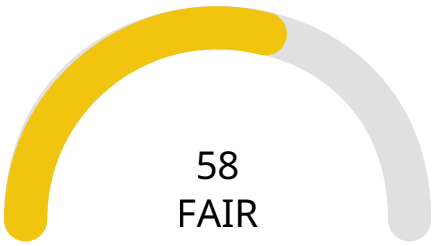
Construction Partners, Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q3 FY26 (10-Q) | Currency: USD

$82.91 [Mkt 23-Oct-26]

Market Cap: $4.5B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 58

Regional density across eight Sunbelt states with real vertical integration in asphalt gives pricing power most pavers lack. But GAAP net margins are thin at ~3.6%, growth is heavily acquisitive, and 3.2x leverage with $90M of annual interest is a genuine constraint.

2. Recent Trend — 80

Strong across the board: FY25 revenue up 54%, adjusted EBITDA up 92% with margin expanding to 15.1%, Q3 revenue up 28% with a 6.8% EPS beat, and backlog at a record $3.36B covering 80-85% of the next 12 months.

3. Forward Growth — 68

7-8% organic growth guided for FY26 plus a proven M&A engine with $140M of acquired revenue entering FY27. IIJA and state funding are tailwinds. The federal highway bill reauthorization is the key overhang.

4. Valuation — 40

Our DCF base of $76.78 is 7% below the $82.91 price. The market prices a 5.0% implied growth rate, below our base-case path; the premium to our base target is carried by the discount rate, not by growth. Forward P/E of 21.7x sits below the 30.8x historical average, but that does not close the DCF gap.

5. Catalysts & Risk — 45

Q4 earnings and the FY27 outlook in late November are the near-term test, with highway bill reauthorization as the macro

swing factor. Leverage, integration of 17 deals, and weather-exposed seasonality tilt the skew negative at this price.

Investment Thesis

- **Roll-Up Executing:** FY25 revenue grew 54% to $2.81B with adjusted EBITDA up 92% to $423.7M [10-K FY25]. Q3 FY26 added 28% revenue growth and a record $3.36B backlog [10-Q Q3 FY26]. Seventeen acquisitions since FY2024 have been integrated across eight Sunbelt states.
- **Our Math Disagrees With the Market:** At $82.91 [Mkt 17-Oct-26], our DCF base of $76.78 implies 7% downside. Analysts see $133.50 on average, but the model says the market already prices a 5.0% growth rate. Honest read: a good company at a full price.
- **Leverage Is the Swing Factor:** 3.2x debt-to-EBITDA with $90.4M of annual interest is the main thing standing between this business and a higher multiple [10-K FY25]. Getting to the 2.5x target is the clearest path to closing the valuation gap.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q3 FY26)	$999.4M [10-Q Q3 FY26]	+28.2% [10-Q Q3 FY26]	Up
Adj EBITDA (Q3 FY26)	$163.0M [10-Q Q3 FY26]	+24% [10-Q Q3 FY26]	Up
Adj EPS (Q3 FY26)	$1.08 [10-Q Q3 FY26]	+33% [10-Q Q3 FY26]	Up
Backlog (Q3 FY26)	$3.36B [10-Q Q3 FY26]	+14.3% [10-Q Q3 FY26]	Up
Revenue (FY2025)	$2.81B [10-K FY25]	+54% [10-K FY25]	Up
Debt / EBITDA (TTM)	~3.2x [10-Q Q3 FY26]	n/a [10-Q Q3 FY26]	Flat
FY2026 Revenue Guide	$3.64-3.68B [8-K guid]	n/a [8-K guid]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	9M FY26
Revenue	$1.30B [10-K FY22]	$1.56B [10-K FY23]	$1.82B [10-K FY24]	$2.81B [10-K FY25]	$2.58B [10-Q Q3 FY26]
Adj EBITDA Margin	8.5% [10-K FY22]	11.1% [10-K FY23]	12.1% [10-K FY24]	15.1% [10-K FY25]	14.3% [10-Q Q3 FY26]
Net Income	$21.4M [10-K FY22]	$49.0M [10-K FY23]	$68.9M [10-K FY24]	$101.8M [10-K FY25]	$85.9M [10-Q Q3 FY26]

Valuation

Absolute (4/10)

P/E (fwd) 21.7x [Mkt 17-Oct-26]
DCF Base $76.78 (-7%)
TTM EPS $2.39 [Mkt 17-Oct-26]

Forward multiple looks reasonable on its own, but DCF says the price embeds growth the model cannot underwrite. The absolute verdict is negative at $82.91.

Versus Peers (5/8)

Infra peers trade 15-25x fwd P/E [Peers 17-Oct-26]
Analyst avg target $133.50 [Cons]

Roughly in line with acquisitive infrastructure peers on forward earnings. Analyst targets imply 60%+ upside, but our DCF is the binding constraint.

Versus History (5/7)

Forward P/E 21.7x vs hist avg 30.8x [Mkt 17-Oct-26]
52-wk range $87.65-$151.00

Trading below its own historical multiple and near the 52-week low, which usually signals value. Here it signals the market repricing acquisition-driven growth.

Catalyst Timeline

Late Nov 2026 [Cons]
Q4 FY26 Earnings (Two-Sided): Full-year guidance test. Backlog conversion and leverage progress are the numbers that matter.

2026-2027 [8-K guid]
Highway Bill Reauthorization (Positive): A new multi-year federal bill would de-risk the funding backdrop for years.

Top Risk Factors (Item 1A)

1. Leverage: Debt to EBITDA sits near 3.2x against a 2.5x target, and $90.4M of annual net interest expense consumes most of operating income. Deleveraging has to happen before the multiple can expand. [10-K FY25]

2. Federal Funding Reauthorization: The federal highway bill faces reauthorization uncertainty. Management expects no major disruption from a

FY2027 [8-K guid]
M&A Pipeline (Positive): $140M of acquired revenue carries into FY27 with an active platform and tuck-in pipeline.

Oct 2026 [8-K guid]
J.H. Strain Integration (Positive): West Texas acquisition adds two asphalt plants in the Abilene market with data center exposure.

What Would Change Our Score

Q4 FY26 results and the FY2027 outlook in late November decide it: if organic growth holds 7-8% and leverage drops toward 2.5x, the downside case fades. If integration stumbles or the highway bill stalls, our $76.78 base becomes the ceiling rather than the floor.

continuing resolution, but short-term projects could take priority until a multi-year bill passes. [8-K guid]

3. Acquisition Integration: Seventeen acquisitions since FY2024 drive most of the growth. Integration missteps or overpaying for the next platform deal would impair the compounding story. [10-K FY25]

4. Seasonality and Weather: Paving is seasonal and weather-exposed; wet weather already weighed on Q3 energy costs and scheduling. Quarterly results will always be lumpy. [10-Q Q3 FY26]

Forward Growth Drivers

- Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026 [8-K guid]
- Vertical integration with over 50% of liquid asphalt supplied internally, supporting pricing power [8-K guid]
- M&A roll-up: 17 acquisitions since FY2024 with $140M of acquired revenue carrying into FY27 [8-K guid]
- Private demand from data centers, warehouses, and industrial projects across eight Sunbelt states [8-K guid]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used leverage trajectory and margin expansion qualitatively.
- Peer multiple comparisons from market data, tagged [Peers 17-Oct-26].
- FY2026 guidance midpoint from the August 2026 raise; Q4 FY26 results due late November 2026.

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